

May June 2018/v12

1-D:

A: The fact that Heathrow is the UK's busiest airport can be objectively analyzed through factual evidence, thus making it a "positive statement"

B: Again, we can test this statement for its accuracy by examining the number of airports that exist to identify the level of competition, making it a "positive statement"

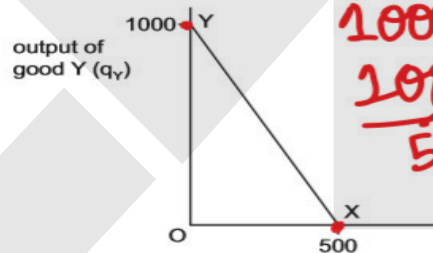
C: This is again an objective statement with statistical data presented, which makes it a "positive statement"

D: Importantly, this statement presents an opinion or a value judgement, that the airport **should do this and not that**, which makes it a "normative statement", thus making this correct.

2-B:

2 YX is an economy's production possibility curve (PPC).

The equation of the curve is $q_Y = 1000 - 2q_X$.



$$\begin{array}{rcl} 1000 Y & : & 500 X \\ \hline 1000 & 2Y & 1X \\ 500 & & \end{array}$$

$$2Y : 1X$$

opportunity cost ratios

What is the opportunity cost of producing one extra unit of good X?

A $\frac{1}{2}$ unit of good Y

☒ B 2 units of good Y

C 500 units of good Y

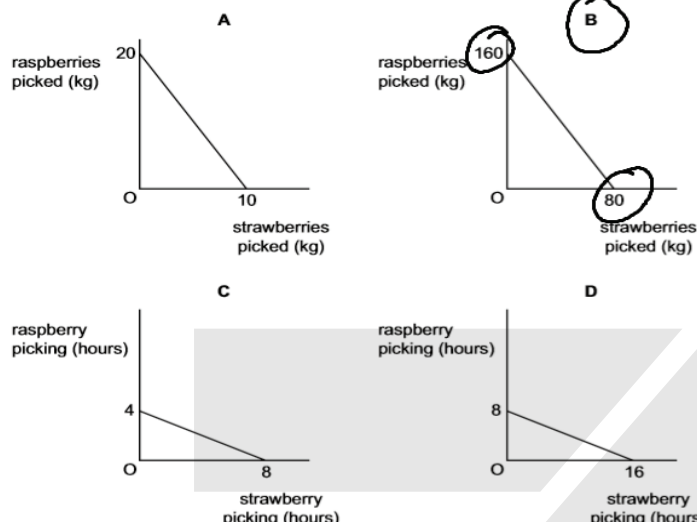
D 1000 units of good Y

So opportunity cost of 1 extra unit of good X is 2 units of good Y.

3-B:

- 3 A farmer picks 10 kg of strawberries in each hour. The farmer is twice as productive at picking raspberries.

Which diagram shows the farmer's daily production possibility curve when working 8 hours a day?



2x strawberries

*1 hr = 10 kg strawberries
 8 hr = 10 x 8 = 80 kg strawberries
 * raspberries = 80 x 2
 Twice as productive → 160 kg.*

4-A:

A: A defense force of a given size protects everyone and even the non-tax payers benefit from it, which reflects upon the characteristic of **non-excludability**. Whereas, benefits consumed by another individual do not reduce the benefits of another individual, which suggests **non-rivalry**, therefore making this correct that it is a “public good”.

B: The healthcare services by hospitals represent merit goods that are categorized under private good as **prices can be attached to them, and an allocative mechanism known as “price-mechanism” can be used**. However, if the government provides it, they become **quasi-public goods**, that do not possess the characteristics of non-excludability and non-rivalry in full, therefore they are known as incomplete public goods, as even after state provision at a zero charge **which** gives it feature of non-excludability, due to a limited supply and over-crowding, they may become rival in nature.

C: Services provided by a leisure Centre are generally classified as private goods as they are rival and excludable in nature as **prices can be attached to them, and an allocative mechanism known as “price-mechanism” can be used**

D: The services provided by a toll-road represent quasi-public goods, that do not possess the characteristics of non-excludability and non-rivalry in full, therefore they are known as incomplete public goods. This is because in off-peak times, they may exhibit non-rivalry, but in peak-times, due to over-crowding, they may present features of rivalry. Also, the toll that is charged makes it excludable, this is because those who are unable to pay the toll are restricted from availing the facility.

5-D:

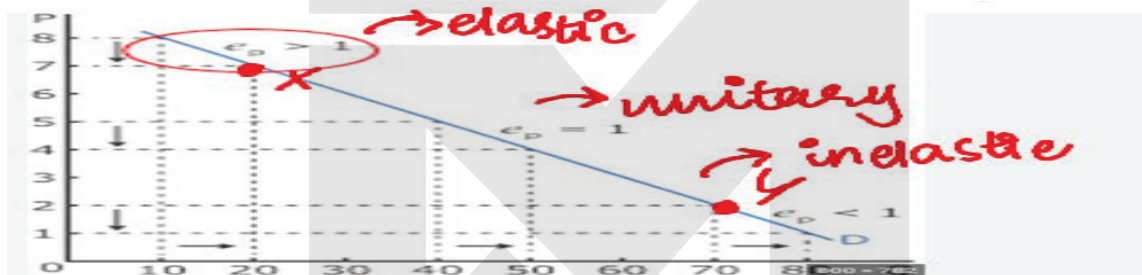
A: A rise in the **incomes** of Indian farmers, will lead to a rise in demand for tractors, if it regarded as a “normal good”.

B: A rise in the price of electricity paid by Indian tractor manufacturers would increase the costs of production, thereby causing a “decrease in supply”

C: A rise in the price of tractors produced in the US , that is a substitute to the tractors produced in India, would lead to **a rise in the demand for Indian tractors , since there is a positive relationship between the price of one good and demand for another, in case of substitutes.**

D: Importantly, a rise in productivity, which represents a greater degree of efficiency in tractor factories, helping to reduce costs of production , and subsequently a rise in supply , as **shown through a rightward shift in the supply curve from S1 to S2. This is why, key D, will be correct**

6-C:



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- A- Consumer expenditure would not rise if the demand for the product is inelastic, as in that case , a fall in price would bring an extension in qty demanded by a relatively smaller percentage, resulting in a fall in Total Expenditure.
- B- This is incorrect as demand **is more elastic at higher prices, than at lower prices , as can be seen above.**
- C- Again, it can be seen in the two diagrams above that price elasticity of demand differs at every price , making this option correct.
- D- This is incorrect as the price elasticity of demand does not equal to one at all price levels, instead , it is only the central region that has a “unitary elastic demand”, as can be seen above

7-D:

Higher cross elasticity of demand represents substitutes, and in particular “close substitutes”

- A) The greater the difference in price between the two goods: This option is incorrect. The cross-elasticity of demand measures the responsiveness of quantity demanded of one good to a change in the price of another good. It does not depend on the absolute difference in price between the two goods, but rather on how consumers perceive the goods as substitutes or complements.
- B) The greater the income elasticities of demand for the two goods: This option is incorrect. The income elasticity of demand measures the responsiveness of quantity demanded of a good to changes in income, and it has no relation to the cross-elasticity of demand between two goods.
- C) The greater the price elasticities of demand for the two goods: This option is incorrect. The price elasticity of demand measures the responsiveness of demand for a good to changes in its own price, not the price of another good. The price elasticities of demand for the two goods is not related to the cross-elasticity of demand between them.
- D) The more they are regarded as **similar** by consumers: This option is correct. The cross-elasticity of demand measures the degree to which the demand for one good changes in response to a change in the price of another good. If two goods are regarded as similar by consumers, they may be perceived as close substitutes , and so a change in the price of one good is more likely to cause a significant change in the demand for the other good, resulting in a higher cross-elasticity of demand.

8-D:

$$\begin{aligned}
 PES &= \frac{\% \text{ change in QS}}{\% \text{ change in price}} \\
 +2 &= \frac{21\%}{+30\%} \\
 \boxed{60\%} &= 21
 \end{aligned}$$

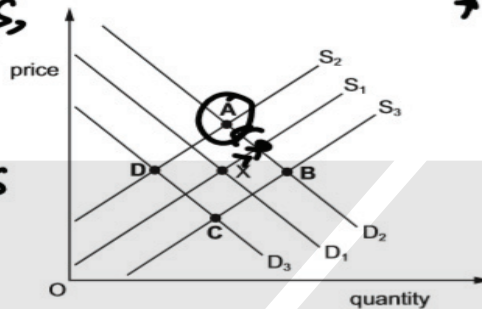
$$\begin{aligned}
 &+ \text{Percentage increase in QS occurs by } 60\% \\
 &* \text{Initially it was } 200 \text{ units} \\
 &* 160\% \times 200 \Rightarrow \boxed{320} \\
 &\text{New QS} = 320 \text{ units}
 \end{aligned}$$

9-A:

- 9 The diagram shows S_1 and D_1 , the original supply and demand curves for fast food in an economy. Point X is the original equilibrium. Fast food is an inferior good.

What would be the new equilibrium position following a tax imposed on fast food and a fall in real income?

* A fall in incomes, would result in a rise in demand for inferior goods
 $D \uparrow$



* An imposition of indirect taxes will lead to a rise in costs of production, and a decrease in supply. $S \downarrow$

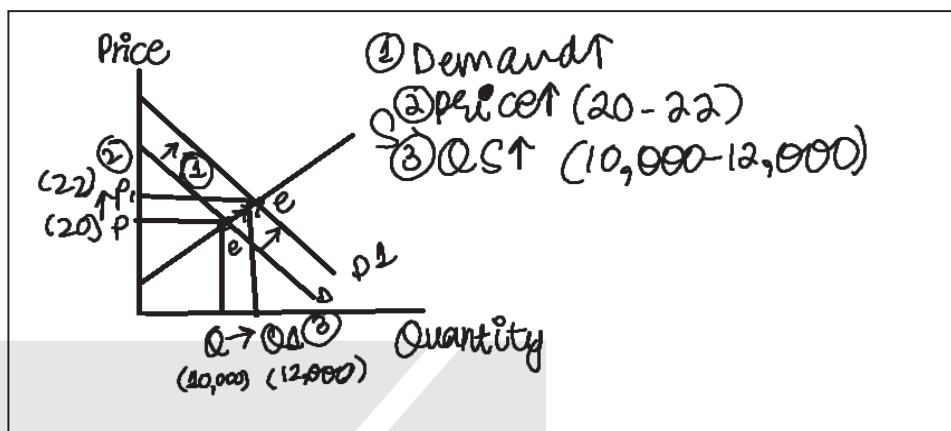
10-B:

Price mechanism would not function as a system for allocating goods when alternative to price mechanism, that is, price controls have been imposed

- A- If the government bans advertising, this would result in a leftward shift in the demand curve; price mechanism may still be used to allocate resources
- B- Price mechanism is when prices are determined by the market forces of demand and supply, where prices provide a signal to the producer to allocate scarce resources among competing uses in a profit maximizing manner. **Maximum price is a price ceiling, which represents a price control, which is imposed below the equilibrium, in turn restricting it from reaching back to the equilibrium, thus making it correct.**
- C- If there is a limited supply of the good, still price can change, and price mechanism may be used to allocate resources.
- D- A powerful company having an attitude of a price maker, represents a monopoly. Although, a monopoly restricts supply and raises prices by a relatively higher percentage, which results in a contraction in qty demanded by a smaller percentage, because generally, the demand for such a firm possessing a very high market share is inelastic, **price mechanism may still be used to determine resource allocation.**

11-C:

We require an option that results in an increase in demand, as a result of which there will be a shortage, which will cause the equilibrium price to rise from 20 to 22 dollar, thereby providing a signal to suppliers to extend quantity supplied from 10,000 to 12,000 units, this can be seen on the figure on the right.



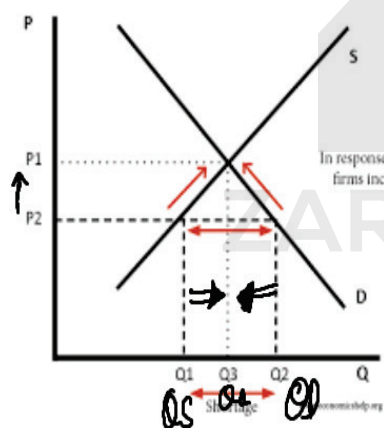
A-An increase in indirect taxation will lead to a leftward shift in the supply curve, which is not required.

B-An increase in cost of raw materials increases costs of production which causes a fall in supply too.

C – An increase in the price of a substitute causes the demand for the good to increase since there is a positive relationship between the price of one good and the demand of another in case of substitutes. Since, we are interested in an option that leads to an increase in demand, this option is correct.

D-An increase in productivity brings efficiency and reduces costs, which results in a rise in supply.

12-C:



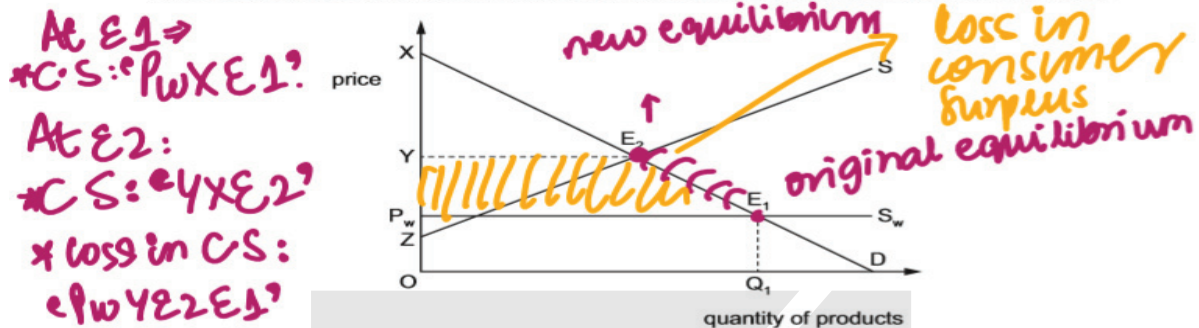
Because of a shortage, there is an upward pressure on prices, as a result of which, quantity demanded contracts and qty supplied extends, resulting in shortages being eliminated.

This is why, key C, becomes correct.

13-B:

- 13 In the diagram, D and S represent the domestic demand and supply curves for a product. S_w represents world supply of the product at a world price of P_w . The initial domestic market equilibrium of the product is at E_1 .

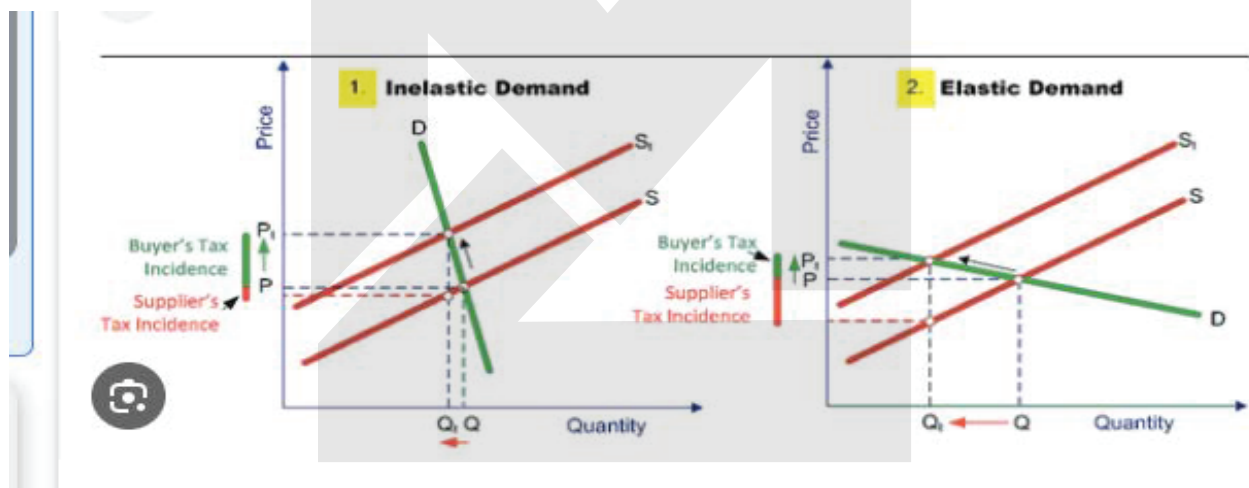
If foreign trade were to be banned completely, the domestic market equilibrium would be at E_2 .



What would be the loss of consumer surplus if all foreign trade were banned?

- A $P_w \times E_1$ **B $P_w \times E_2 - E_1$** C $Y \times E_2$ D $Z \times E_2$

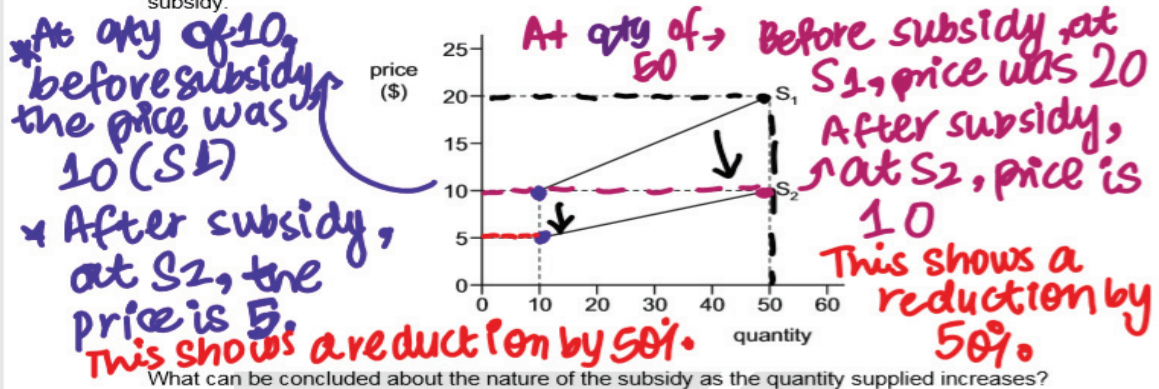
14-A:



- A- In case of a higher price elasticity of demand, or in other words, elastic demand, the producer bears most of the incidence of taxation, since **producer burden is greater than consumer burden**, as can be seen above, thus making this correct.
- B- In case of a lower price elasticity of demand, or in other words, in-elastic demand, the consumer bears most of the incidence of taxation, since **consumer burden is greater than producer burden**, as can be seen above, thus making this **incorrect**.
- C- In case of a "perfectly inelastic demand", consumer bears the complete burden of the tax, thus making this incorrect.
- D- In case of unitary elastic demand, total revenue or total expenditure remains unchanged

15-B:

15 The diagram shows the effect on the supply curve of a product when the government provides a subsidy.



What can be concluded about the nature of the subsidy as the quantity supplied increases?

- A It is a falling percentage (%) of the price of each unit.
- ☒ B It is a fixed percentage (%) of the price of each unit.
- C It is a fixed sum on each unit.
- D It is a rising percentage (%) of the price of each unit.

16-C:

A, B and D:

Transfer payments are payments made without goods and services being received in exchange.

In-case of pocket money from parents , private donations to charities and unemployment benefits, no service is obtained in return, thus making them transfer payments.

Whereas, in case of option C, a service is given by a teacher in return of a salary, which is why, it cannot be a transfer payment. Therefore, making option C correct.

17-D:

A: "P" represents the equilibrium price at which qty demanded will match qty supplied. At this price level, the benefits to the society won't be maximized because it is "price mechanism"

B: Healthcare is fixed in supply, which means that it will exhibit characteristics of rivalry as "consumption by one individual will reduce the consumption for another individual"

C: Healthcare is not in unlimited supply, instead it is fixed in supply as shown through the "perfectly inelastic supply curve "

D: At zero price, qty demanded will exceed qty supplied , representing “shortages” . Therefore, rationing, that is a controlled distribution of a good or service will have to be done, for example: the govt will have to allot a certain amount of facilities a household can consume in a month, thus making this correct.

18-C:

A : Because of privatization in the tele-communications industry, there will be a rise in competition, and since a greater number of private sector firms will operate, there will be a higher output produced, which means that there will be a greater degree of choices for consumers.

B: Private sector firms choose to innovate , which means that there **will be a greater development of “new tele-communications products”**

C: Since private sector firms operate with the objective of profit maximization, they will lay off inefficient workers, and will substitute labor with capital to cut costs, leading to a rise in the level of **technological unemployment, making this option correct.**

D: Due to employment of capital-intensive techniques, productivity will increase, and firms will seek to improve it, because they are faced with competitive pressures.

19-B :

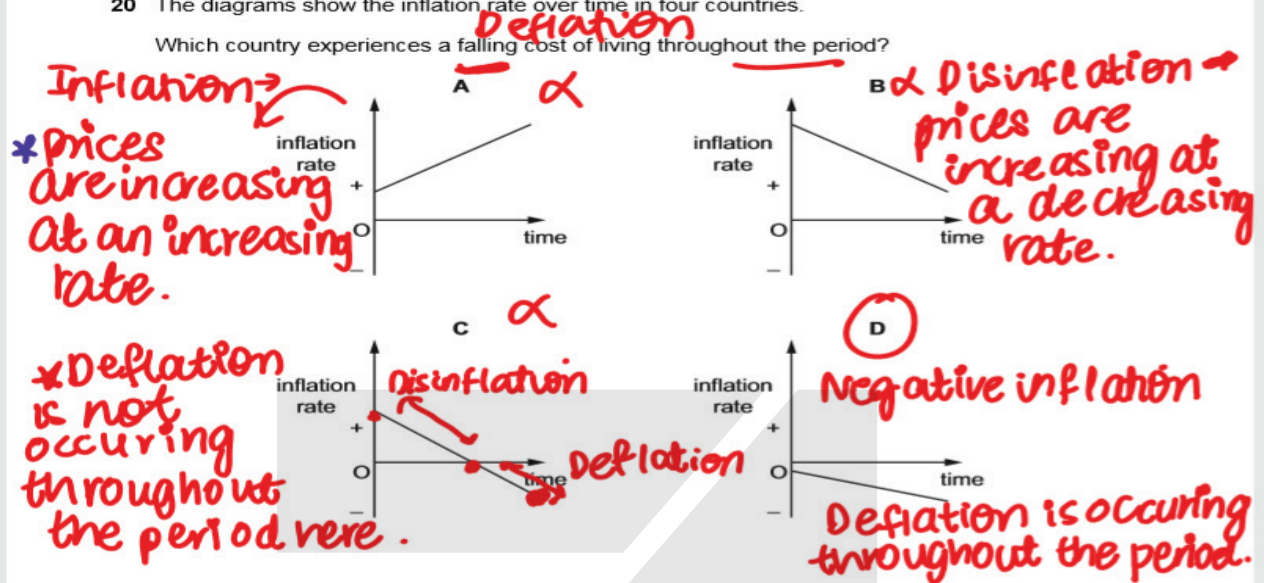
We are interested in an option that results in a rightward shift in the Aggregate demand curve.

- A- Although a rise in consumption expenditure increases Aggregate demand, an increase in productivity will also result in a rightward shift in the Aggregate supply curve.
- B- An increase in consumer expenditure increases AD. Similarly , a reduction in imports would lead to a decrease in import expenditures relative to export revenues, consequently leading to an improvement in Balance of Trade position, and these injections into the circular flow will increase AD, thus making this correct.
- C- An increase in income tax will decrease consumption after having reduced disposable incomes , leading to a fall in Aggregate demand. And, increases in education and training, will shift the AS curve rightwards, which is not required.
- D- Although, a reduction in corporation tax, will increase investment expenditure, after having increased retained profits, consequently leading to a rise in Aggregate demand , appreciation in the long run, will lead to a Balance of trade deficit, when the sum of price elasticities of demand of exports and imports is greater than 1, which will lead to a fall in Aggregate demand.

20-D:

20 The diagrams show the inflation rate over time in four countries.

Which country experiences a falling cost of living throughout the period?



21-C:

A) Changes in nominal income: This option is incorrect. Nominal income refers to the total income received before accounting for inflation (The word “nominal” implies that incomes have been measured in current prices and not adjusted for inflation or adjustments for taxes.)

B) Changes in nominal net earnings: This option is incorrect. Net earnings typically refer to income after deducting taxes and other deductions, but it does not account for inflation, and is measured in terms of current prices, thus making this incorrect.

C) Changes in real disposable income: This option is correct. Real disposable income takes into account changes in income from employment, pensions, and benefits, while also considering adjustments for inflation and deductions related to income tax and welfare contributions. It represents the actual purchasing power of individuals after accounting for these factors.

D) Changes in real gross earnings: This option is incorrect. Gross earnings typically refer to income before any deductions, such as taxes and other contributions. Although, it is adjusted for inflation, it is unadjusted for taxes, this is why, this becomes incorrect

22-A:

22 The table shows all of the items on the current account of a country's balance of payments.

	\$ million
exports of goods	143
imports of goods	156
exports of services	75
imports of services	72
net transfers	+5

Balance of Trade $\Rightarrow -13$
in goods

Balance of Trade in $\Rightarrow 3$
services

$\rightarrow$ Secondary incomes $\Rightarrow 5$

Current account $\Rightarrow -13 + 3 + 5 \Rightarrow \-5 m deficit

What is the value of the current account balance?

- ☒ A \$5m deficit
- ☐ B \$10m deficit
- ☐ C \$13m deficit
- ☐ D \$3m surplus

23-D:

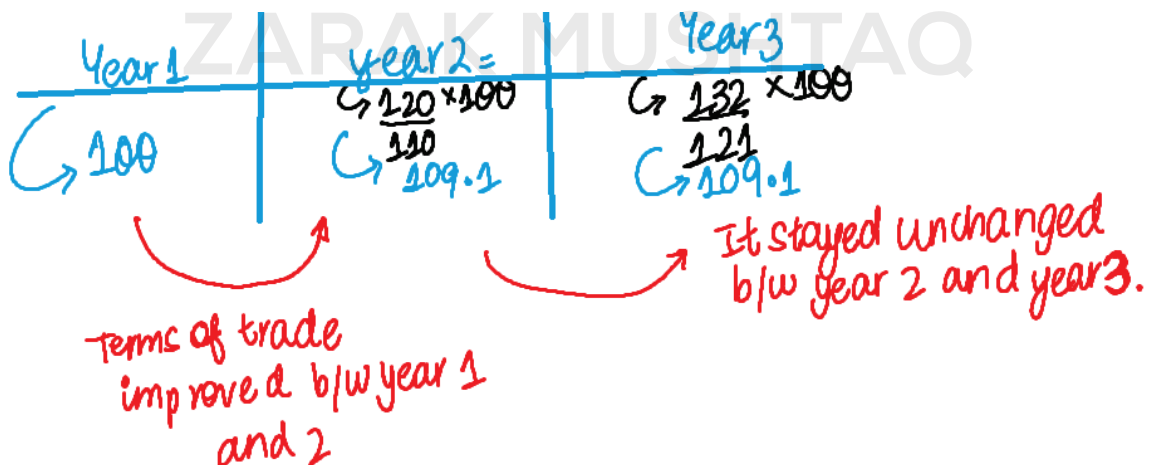
Traditionally, a positive relationship exists between interest rate and exchange rate. A rise in interest rate of the UK would have resulted in increased incentives to invest in the economy, resulting in hot money inflows being attracted, and in turn appreciation of the exchange rate.

But since the US has also increased the interest rate, and we are not aware of the magnitude of the rise in interest rate, this means that hot money can either flow in to UK or the US, depending upon who is offering a higher interest rate, therefore, the overall outcome becomes uncertain.

24-C:

A: With the given data of export prices and import prices, it is sufficient to calculate terms of trade

B and C: The calculation below explains why B will be incorrect and C will be correct.



D: Terms of trade did not worsen throughout the period.

25-D:

Unattainable point represents the **output combination** that can not be achieved using given resources, representing “scarcity”

A- A reduction in un-employment leads to actual, that is , the point inside the PPC to move closer to potential, and not the “unattainable point” to be achieved.

B and C: Increased specialization in the production of good X and good Y will lead to all of good X or all of good Y to be produced , and it won't help in achieving the unattainable point until trade is done.

D: Increase in international trade, will lead to a country achieving the unattainable point in the short-run , through volume of imports as PPC shifts to TPC . Even without shifting the PPC , unattainable point can be achieved in the short-run.

26-A:

A) Only the customs union has a common external tariff with the rest of the world: This option is correct. A customs union is a form of economic integration in which member countries establish a common external tariff on imports from countries outside the union. This means that the member countries apply the same tariff rates to goods imported from non-member countries .**This is why, this becomes correct.**

B) Only the customs union requires fixed exchange rates between member countries: This option is incorrect. Fixed exchange rates can be a requirement of a “monetary union”

C) Only the free trade area needs to eliminate tariffs between member countries: This option is incorrect. Both a customs union and a free trade area aim to reduce or eliminate trade barriers, including tariff between member countries.

D) Only the free trade area requires freedom of movement for labor and capital between member countries: Freedom of movement for labor and capital between member countries a feature of an “economic union”

27-D:

A - A tariff will result in a **lesser** decrease in demand for imported goods, the lower is its price elasticity of demand, representing that PED is inelastic.

B - This is incorrect, as because of **embargoes, imports are completely banned , and no amount can be imported , regardless of the price-elasticity of demand.**

C - Dumping occurs when foreign firms sell their products in a foreign market at prices below their production cost or below the prices charged in their home market. This can harm domestic industries by creating an unfair competition and potentially driving domestic firms out of business .To counteract the negative effects of dumping, countries can impose anti-dumping duties or regulations. These measures are designed to protect domestic industries by placing additional tariffs or restrictions on the dumped products, making them less competitive in the domestic market. **Export subsidies, on the other hand, are financial incentives provided by governments to domestic firms to boost their export activities. These subsidies aim to make the domestic products more competitive in international markets by reducing production costs or offering financial support. Export subsidies are not specifically targeted at addressing or preventing dumping practices .Instead, they may increase further dumping, as foreign firms may further dump their heavily subsidized products by means of retaliation.**

D - Yes, this is absolutely correct **as quotas restrict qty rather than raising any revenue inform of taxes, for instance, for the government.**

28-A:

Expansionary monetary policy involves the govt increasing money supply, lowering the interest rate and exchange rate.

- A- Central bank buying back government bonds, represents quantitative easing, specifically “open market operation” , which will result in a rise in money supply. **This represents an “expansionary monetary policy”**
- B- Appreciation is not a feature of expansionary monetary policy, instead, depreciation is.
- C- The central bank **increasing controls on bank lending represents restrictions placed on the minimum amount of liquid cash a commercial bank is obliged to keep, which will have a contractionary effect.**
- D- The central bank increasing the “minimum lending rate of interest” represents a **contractionary monetary policy.**

29-A:

- A- A decrease in income tax means that disposable incomes, and in turn consumption on imported goods will increase, thereby reducing the surplus, as it represents a move towards a deficit. Similarly, in the long run, when the combined sum of PED of imports and exports is greater than 1, appreciation will lead to a BOT deficit, subsequently leading to surplus being reduced, making this **correct**.
- B- An increase in income tax means that disposable incomes will reduce, and in turn consumption on imported goods will decrease, thereby **increasing** the surplus. **Further, exchange rate being lowered represents depreciation, which in the long run, leads to a BOT surplus, which will further increase the surplus**
- C- Increasing subsidies will make exported goods of China cheaper, which can bring about an increase in export revenues, **increasing the surplus**. Similarly, a reduction in income tax means that the disposable incomes, and in turn consumption on imported goods will increase, thereby **reducing the surplus**, as it represents a move towards a deficit. The net effect becomes uncertain.
- D- Increasing tariffs may result in a fall in import expenditures if the demand for imports is elastic, leading to surplus **being increased**. An increase in income tax means that disposable incomes will reduce, and in turn consumption on imported goods will decrease, thereby **increasing** the surplus. This is why, this becomes incorrect

30-C:

- A- A fall in sales tax would reduce cost push inflation, and result in a fall in prices of goods, which would lead to a rise in real incomes, and in turn consumption expenditure, leading to Aggregate demand being stimulated, resulting in inflationary pressures being exacerbated. A quota on cheap imports would reduce the import expenditures, leading to qty switching to domestic goods, and a rise in consumption expenditure would lead to Aggregate demand being stimulated.
- B- A fall in income taxes would increase the disposable incomes and in turn purchasing powers, and consumption expenditure, leading to Aggregate demand being stimulated. A fall in interest rates would reduce the costs of borrowing, leading to a rise in investment expenditure, and in turn Aggregate demand.
- C- A rise in interest rates would increase the costs of borrowing, leading to a fall in investment expenditure, and in turn Aggregate demand. And, a fall in government spending when reduces injections from the circular flow would result in a fall in Aggregate demand, as a result of which, there will be a surplus of resources, resulting in a fall in general price level, which means that demand pull inflation would be controlled. This is why, this becomes correct.
- D- Reduction in subsidies and a rise in minimum wages would increase costs of production, leading to a fall in Aggregate supply, and in turn, a rise in cost-push inflation.